TEACHER GUIDE

SQA National 5 Business Management (C810 75)

# Pricing

Management of marketing
**Marketing mix: Price**



A revision lesson. Pupils run a car dealership in firms of four and revise pricing on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Margin of the price

Round 1

What do you keep?

**Margin, as % of the price?**

| | |
|---|---|
| You pay per car | **£10,200** |
| Customer pays per car | **£12,000** |

**ANSWER**

**15%**

(£12,000 − £10,200) ÷ £12,000 = 15%

**Why:** You keep 15p of every £1 the customer pays.

## 2 Penetration risks

Round 1

You set a low price on a new model to win buyers fast.

**Which two are the main risks?**

- **A** Rivals can never match it
- **B** Fewer buyers at the start
- **C** A higher profit per car
- **D** Buyers may leave when it rises
- **E** A low margin on each car

**ANSWER**

**✓ Buyers may leave when it rises**
**✓ A low margin on each car**

**Why:** A low price earns little per car, and buyers drawn by price may not stay.

## 3 Rank by margin

Round 2

Three cars: what you pay for each, and its price.

**Order by margin %, highest first?**

- **A** Pay £14,000, price £17,500
- **B** Pay £7,000, price £10,000
- **C** Pay £9,000, price £12,000

**ANSWER**

**1. Pay £7,000, price £10,000**
**2. Pay £9,000, price £12,000**
**3. Pay £14,000, price £17,500**

**Why:** Margins 30%, 25%, 20%: the biggest profit in pounds has the lowest margin.

# Topic tasks

## 4 Price to hit margin

Round 2

Price to hit your target.

**Price with the 25% margin?**

| | |
|---|---|
| You pay per car | **£7,200** |
| Prep per car | **£300** |
| Target margin on the price | **25%** |

**ANSWER**

**£10,000**

(£7,200 + £300) ÷ 75% = £10,000

**Why:** A 25% margin is a 33% mark-up on cost.

## 5 High or low launch

Round 3

You get a rare new model that no rival in town sells.

**Which launch price should you set, and why?**

**A** A low price at launch

**B** A high price at launch

**ANSWER**

**✔ A high price at launch**

**Why:** No rival and a rare model: buyers will pay more at first, so skim.

## 6 Discounted profit

Round 3

They want a discount.

**Profit on the 3 cars?**

| | |
|---|---|
| List price per car | **£17,000** |
| Fleet discount | **10%** |
| You pay per car | **£12,000** |

**ANSWER**

**£9,900**

3 × (£17,000 − 10% − £12,000) = £9,900

**Why:** The 10% discount costs £5,100 of profit on the deal.

# Final questions

Each pupil answers 6 final questions on pricing. They come from these 15 questions.

Then each pupil writes one short answer: “Explain when a dealer should set a high launch price.”

1 A rival makes a large price cut. What is the strongest first response?
✔ **Weigh costs and customer needs before acting**

2 A parts retailer prices one popular item below cost to attract customers who may buy profitable extras. Which pricing method is this?
✔ **Loss leader**

3 A new car-care app enters a competitive market with a low introductory subscription price to attract users quickly. Which pricing method is this?
✔ **Penetration pricing**

4 A firm launches a unique diagnostic device at a high price before rivals offer an equivalent. Which pricing method is this?
✔ **Price skimming**

5 A tyre retailer sets prices after comparing several nearby rivals selling the same brands. Which method is most evident?
✔ **Competitive pricing**

6 What does cost-plus pricing involve?
✔ **Adding a mark-up to the cost**

7 A close rival adds a two-year warranty. What should a dealer do before responding?
✔ **Research whether customers value it, and costs**

8 The Sales lead considers lowering a price. Which evidence should be used together?
✔ **Demand, rivals’ prices, unit costs and the desired position**

9 Worked case: a bakery cannot match a supermarket’s price, so it competes on freshness and its own sourdough. A small dealer cannot match a chain’s discount. What should it do?
✔ **Compete on what the chain cannot copy, like knowing customers**

10 Price after discount = original price − (percentage × original price). A van priced £18,000 has 15% off. Using the formula, what does a buyer pay?
✔ **£15,300**

11 A new car valeting firm sets a low price to win customers quickly. It plans to raise the price later. Which pricing strategy is this?

# Final questions

**12** A dealer is the first in town to sell a new electric model. It sets a high price at launch and lowers it later. Which strategy is this?

✔ **Price skimming**

**13** A dealer buys a used car for £5,000 and adds a 20% mark-up. What selling price does cost-plus pricing give?

✔ **£6,000**

**14** Three garages on one road charge about £150 for a full service. A new garage also charges £150. Which pricing method is it using?

✔ **Competitive pricing**

**15** A rival opens next door and sells similar used cars for less. What is the dealer most likely to do with its prices?

✔ **Lower its prices to stay competitive**